DRN-6459546

Financial Ombudsman Service

The complaint

Mr L complains that Zempler Bank Limited will not reimburse the funds he said he lost to a scam.

What happened

The background to this complaint is well known to both parties, so I will not repeat it in detail here. In summary, between January and March 2025 Mr L made the following payments as a result of what he thought was a legitimate employment opportunity.

Scam 1

Payment	Date	Payee	Amount
1	14 January 2025	Cryptocurrency platform 1	£7,740.00
2	14 January 2025	Cryptocurrency platform 1	£40.00
3	15 January 2025	Cryptocurrency platform 1	£17,550.00
4	16 January 2025	Cryptocurrency platform 1	£15,000.00
5	16 January 2025	Cryptocurrency platform 1	£12,150.00
6	16 February 2025	Transfers to M	£10.00
7	16 February 2025	Transfers to M	£4,825.00
8	18 February 2025	Transfers to M	£5,000.00
9	03 March 2025	Transfers to M	£9,200.00
10	04 March 2025	Cryptocurrency platform 2	£900.00
11	05 March 2025	Cryptocurrency platform 2	£6,000.00
12	07 March 2025	Cryptocurrency platform 2	£100.00
13	07 March 2025	Cryptocurrency platform 2	£9,900.00
14	09 March 2025	Cryptocurrency platform 2	£4,540.00
15	10 March 2025	Cryptocurrency platform 2	£5,000.00

In May 2025, Mr L made the following payments to pay what he thought was a legitimate firm that could help recover the funds he lost from scam 1. He later discovered that this was also a scam.

Scam 2

Payment	Date	Payee	Amount
16	06 May 2025	Cryptocurrency platform 3	£10.00
17	10 May 2025	Cryptocurrency platform 3	£2,800.00
18	13 May 2025	Cryptocurrency platform 3	£35.00
19	15 May 2025	Cryptocurrency platform 3	£500.00
20	18 May 2025	Cryptocurrency platform 3	£1,600.00
21	19 May 2025	Cryptocurrency platform 3	£1,800.00
22	26 May 2025	Cryptocurrency platform 3	£1,750.00
23	27 May 2025	Cryptocurrency platform 3	£3,250.00

Our Investigator did not uphold the complaint. Although he thought Zempler ought to have been concerned about the payments and intervened, he didn't think it could have prevented the loss Mr L incurred.

Mr L did not accept the Investigator's findings. He says he would have stopped making the payments had Zempler intervened. As an agreement could not be reached, the complaint has been passed to me for a final decision.

I issued my provisional decision 16 June 2026 in which I said:

"*I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.*

I recognise that I have summarised this complaint in much less detail than has been provided. I want to reassure both parties that I have taken their detailed submissions into consideration and if I haven't mentioned something it is not because I have ignored it. I haven't. Rather, I have focussed on setting out what is key to my decision.

I want to thank Mr L for sharing with us about his personal circumstances. I was truly sorry to hear of the challenges he has faced with his health over the last few years. I recognise that Mr L has been the victim of a cruel scam and experienced a significant loss during what was already a difficult time for him and his family. While I sympathise with Mr L, I must put aside my feelings of sympathy and consider his complaint impartially. Having done so, I intend to uphold this complaint in part. I'll explain my reasons why.

I think it is important for me to explain that we are a free alternative to the courts and our role is to provide an informal resolution to complaints. My decision is based on the balance of probabilities – that is, what I consider is more likely than not to have happened in the light of the available evidence and the wider surrounding circumstances. And although I take into consideration the law, my decision is ultimately made on a fair and reasonable basis and may differ to what the courts may decide when it applies the law. I'm satisfied the rules that govern the Financial Ombudsman Service allow me to do so. Mr L can read more about how we make our decisions on our website, https://www.financial-ombudsman.org.uk/who-we-are/make-decisions.

Should Zempler have intervened in any of the payments Mr L made?

Zempler has not shown that it intervened in any of the transactions, however I find it missed several opportunities to do so.

I find Zempler ought to have found the first payment suspicious. I say this because the payment was to a new payee, it was high value, it was out of character when considering Mr L's typical spending in the months prior to the scam. The payments were also to a well-known cryptocurrency provider. While there are many legitimate payments made to purchase cryptocurrency, Zempler should have been aware of the increased risk they pose. Considering this I find it should have queried the purpose of payment 1 and the circumstances which surrounded it. It should then have provided a tailored warning highlighting the key features and risks in relation to the purpose stated.

I also find payment 3 ought to have raised further suspicions, as it was significantly larger than the earlier payments and it was more than double the value of payment 1. Considering the information it had to hand, I think Zempler ought to have stopped this transaction and required that Mr L discuss the context of the payment with a member of staff.

Although I find Zempler ought to have intervened as I set out above, I must also consider what I find is more likely than not to have happened had it done so. In other words I have thought about whether Zempler could have prevented the loss had it intervened and I'm not persuaded it could. I say this because, I have reviewed Mr L's conversations with the scammers and I find he was under their spell and determined to make the payments. Mr L received significant coaching and guidance when questioned about payments he made from another payment service provider. Mr L became suspicious at various times during the scam and he went as far as to report a scam to Zempler and to the first cryptocurrency provider he sent funds to. He subsequently discovered there were negative online reviews regarding the firm which indicated it was a scam, he informed the scammers of this and reported the scam to another payment service provider which I'll refer to as "R". Yet despite this, Mr L continued paying towards the scam and went to great lengths to ensure the payments were processed. He provided inaccurate information and misleading evidence when R questioned a payment he was attempting to make.

I am by no means blaming Mr L for what has happened, I appreciate that he was the victim of a cruel scam and he believed that it was a genuine employment opportunity. However when in accurate or misleading information is provided, it makes it difficult and can often prevent the bank from uncovering a scam. It follows that on the balance of probabilities; I find it is more likely than not Mr L would have acted in a similar manner and followed the scammer's guidance and given inaccurate information if questioned by Zempler.

Additionally, Mr L made payments towards the scam from several different firms, his conversations with the scammer show he set up new accounts with payment service providers and on cryptocurrency platforms as directed by the scammers and to circumvent the restrictions placed on the various accounts. Therefore I find on balance, Mr L would likely have found alternative means of making payments even if Zempler went as far as to restrict his account.

It is for these reasons that I am not persuaded that Zempler could have prevented the loss Mr L experienced from scam 1.

Scam 2

Although the payments were to a cryptocurrency provider it does not automatically follow that they were fraudulent or the result of a scam. As I explained above, there are many legitimate payments made on a daily basis. And Mr L was making payments to a different cryptocurrency provider to those he previously reported to Zempler when he made his scam *claim. And I do not think the initial payments would have triggered Zempler's fraud prevention systems.*

However I find the final payment for £3,250 should have raised suspicions considering its value and destination. Particularly as Zempler was aware Mr L was the victim of a scam a few months prior. Therefore I think Zempler ought reasonably to have enquired about the context of the payment. Having reviewed his conversations with the scammer, I'm satisfied Mr L did not receive any significant coaching, he was not told to lie to the bank or to conceal the purpose of the payment, nor was he advised to ignore warnings from Zempler. As such, I think Mr L would likely have been honest if questioned about this transaction.

With appropriate questioning, Zempler would likely have discovered that the situation bore the hallmarks of a recovery scam. For instance, Mr L was communicating with the scammers via a messaging service, he was told to make the payments by a third party and was put under pressure to do so. It would also have come to light that the payments were to pay a firm that claimed it could help Mr L recover the money he lost in scam 1. Zempler could then have warned Mr L that it was most likely a scam. And I think it is likely that he would have taken heed of such a warning. As such, I'm persuaded that had Zempler intervened as I think it should have, it could have prevented the loss from payment 23.

Is it fair and reasonable for Zempler to be held responsible for the loss from payment 23?

In reaching my decision about what is fair and reasonable, I have taken into account that Mr L initially transferred the funds from his Zempler account to another account in his own name, rather than directly to the fraudster. So he remained in control of the funds after they left his Zempler account, and there were further steps before the funds were lost to the scammers.

Zempler said the payments are out of scope for APP reimbursement as they were made to another account in Mr L's name. I agree that neither the Contingent Reimbursement Model (CRM) code or the Faster Payment Scheme (FPS) mandatory reimbursement rules apply to Mr L's complaint.

But the Payment Systems Regulator, when it introduced the FPS mandatory reimbursement rules, reminded firms that fraud victims have a right to make complaints and refer them to the Financial Ombudsman Service separately from the new reimbursement rights and that APP scam victims will still be able to bring complaints where they believe that the conduct of a firm has caused their loss (in addition to any claim under the reimbursement rules).

As I set out above, I'm satisfied Zempler could have prevented the loss Mr L suffered from the final payment. The fact that the money used to fund the scam wasn't lost at the point it was transferred to his cryptocurrency wallet does not alter that fact and I think Zempler can fairly be held responsible for Mr L's loss in such circumstances. It follows that I am satisfied that it would be fair to hold it responsible for Mr L's loss from payment 23.

Should Mr L be held liable for his losses from payment 23?

Even though I find there were concerning factors and a number of red flags in the circumstances of the scam. I am aware Mr L had suffered a significant loss and was desperate to recover his funds. I have also taken into account that Mr L was facing serious health challenges at the time of the scam. Mr L said he had not been able to carry on his regular employment due to his health and was looking for ways to make extra money. I note he had undergone major emergency surgery during this time, and he was regularly in the hospital. Mr L also told our Service he was on medication which impacted his decision making. I think Mr L's circumstances would likely have made him more susceptible to a *scam such as this and it is likely to have impacted his ability to identify and act on the red flags present in the situation. I find Zempler as the professionals ought reasonably to have greater knowledge of common scams, including the risk of a recovery scam and ought to have taken steps to protect Mr L as I have explained in detail above. Ultimately, I do not think it would be fair or reasonable to hold Mr L jointly liable in these specific circumstances*

Recovery

The payments were to Mr L's own cryptocurrency wallets and to an account he held with a business I'll refer to as M, before the funds were sent on to the scammer. Therefore I find there were no realistic prospects of Zempler recovering the funds that were lost. Mr L would have had access to the funds if any of it remained in any of his accounts and could have recovered the money himself without assistance from Zempler.

Putting things right

I'm satisfied that Zempler should have prevented Mr L's loss from payment 23. In calculating fair redress I've taken into account that Mr L has received some reimbursement.

His bank statements show he received money back that he understood to have been funds that were 'recovered' from scam 1. Given Mr L was falling victim to a scam and the recovery firm's service wasn't genuine, I don't think this money should be attributed to any specific payment. Instead, I think this money should be deducted from the amount lost by apportioning it proportionately across all of the payments Mr L made to scam 2. This ensures that these credits are fairly distributed.

In this case, the 'recovered funds' received equals £5,508.99 and the total amount paid to the scam equals £11,745.00. Zempler should divide the recovered funds by the total amount paid to scam 2. This gives the percentage of the loss that was received as 'recovered funds'. Deducting that same percentage from payment 23 gives the amount that should be reimbursed.

Here the 'recovered funds' amount to 46.9% of the total paid to scam 2. It follows that the outstanding loss from payment 23 should be reduced by the same percentage. That means Zempler should reimburse 53.1% of payment 23.

Please note that, for ease of reading, I've rounded the relevant percentages down to two decimal places, but Zempler should perform the calculation I've set out above to arrive at a more precise figure, as I have done to arrive at the figure below.

After taking the steps set out above, I calculate Mr L's outstanding loss from payment 23 to be £1,725.59.

Zempler should also pay 8% simple interest per annum on the amount it reimburses from the date of loss to the date payment is made, to compensate Mr L for the loss of use of his funds during this period.

Both parties now have until the due date set out above to send in any further information, should they wish to do so. All I would add is that any final submissions should be materially new. Neither party needs to repeat what it's said to us before."

Although Mr L accepted the provisional decision, he says that during a recent telephone call, Zempler agreed it did not do enough to protect him. As such, Mr L feels it should take more responsibility for his losses.

Zempler did not accept the provisional decision. It says that while it acknowledges the finding that earlier intervention should have occurred, it does not agree that such intervention would, on balance, have prevented the loss. And it states "*the evidence demonstrates a consistent and sustained pattern of behaviour by Mr L, which strongly indicates that he would have proceeded with the payment regardless of any intervention.*"

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I have considered the comments by both parties but my position remains the same. Mr L says Zempler agreed it should have intervened in the payments, however this is not in dispute. It is not enough for me to find Zempler failed to intervene, I must also consider what is likely to have happened if it did. And for the reasons I outlined in my provisional decision, I am not persuaded it could have prevented the loss Mr L experienced from scam 1.

Zempler argues that the same factors relied upon to reject causation earlier in the scam remained present at the point of payment 23. However I find the circumstances of the second scam differed to scam 1. In the second scam, unlike in scam 1, Mr L did not receive any significant coaching from the scammers, he was not given a cover story to tell Zempler if it asked about the transactions, and he was not told to ignore warnings. Mr L was honest about the situation when speaking to what he thought was a customer service agent working for a legitimate recovery firm where his money was being held. And believing he was receiving support from a genuine anti-fraud officer, he explained to the customer service agent that the officer had helped recover his funds. It follows that, on balance, I find it more likely than not that Mr L would have been honest about the context of the final payment if Zempler questioned him, and the scam would likely have been uncovered.

In light of the above and what I said in my provisional decision. I find Zempler responsible for the outstanding loss from payment 23.

My final decision

For the reasons set out above, I uphold this complaint and require Zempler Bank Limited to:

- pay £1,725.59.
- Pay 8% simple interest per annum on the reimbursement.

If Zempler Bank Limited considers that it's required by HM Revenue & Customs to deduct income tax from that interest, it should tell Mr L how much it's taken off. It should also give Mr L a tax deduction certificate if he asks for one, so he can reclaim the tax from HM Revenue & Customs if appropriate.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr L to accept or reject my decision before 27 July 2026.

Oluwatobi Balogun
Ombudsman